

ASPEED Technology 5274.TWO 5274 TT

EQUITY: TECHNOLOGY

Customer demand continues to rise; raise TP

Despite overbooking risks, demand continues to rise; we expect further earnings upside

Order outlook momentum continues; reiterate Buy

We raised our 2026F BMC (baseboard management controller) shipment estimate for ASPEED from 22mn in *Dec-25* to 25-30mn in *Mar-26* owing to the strong demand for both general servers and AI servers, and also our expectation of overbooking. Over the past three months, we continue to see upward revision in customer orders, as reflected in ASPEED's book-to-bill ratio (>2). The advent of agentic AI is driving a significant rise in CPU server demand. Although substrate constraint could potentially cap 3Q26F revenue upside (conservative guidance of TWD4.1-4.3bn vs. Bloomberg consensus at TWD4.3bn, we expect TWD4.7bn), we expect 4Q26F to record significant revenue growth q-q on improved supply with more OSAT vendors joining. We estimate total BMC shipments in 2026F to reach ~33mn. The order momentum should sustain into 2027F, based on our industry checks and ASPEED's comment about a huge backlog. We estimate total BMC shipments to experience another significant surge and reach 37mn in 2027F. We maintain our view that the strong booking may carry some underlying risk (i.e. correction). We believe the substantial order momentum could still include stockpiling amid a tight supply/cost inflationary environment, while it doesn't necessarily indicate customers are willing to slow down procurement anytime soon. We tentatively assume BMC shipments to plateau with a soft pullback in 2028F (we model 35mn). We raise 2026F/7F EPS by 22%/40%. Based on 50x 2028F EPS, our new TP is TWD19,100 (up from TWD11,500, based on 50x 2027F EPS). The 50x target multiple is at the mid-end of ASPEED's historical trading range). We reiterate Buy. The stock trades at 40.9x 2028F EPS. Our current EPS projections are on a pre-dilution basis, as we have not factored in 10% stock dividend (9%+ EPS dilution).

Product portfolio further expands content value per server

ASPEED showcased its latest product roadmap (*Fig. 5*) during 2026 Computex and unveiled AST1840 (*Fig. 7-Fig. 8*), a brand-new chip combining BIC/SMC functions with embedded FPGA (procured from Lattice [LSCC US, NR]). The multi-function chip reduces design footprint, providing an attractive choice for customers who want to downsize PCB. ASPEED continues to expand its product offshoots in the core server market despite iterating existing product families, all leading to higher value content within one server. Therefore, even if the server market becomes saturated, ASPEED could still enjoy content value increase from mix optimization as well as to expand into adjacencies. We estimate ASPEED's total content value per server could reach 7-8x (if not higher) in AST2800 gen, vs. AST2500 gen (*Fig. 9*).

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (TWD)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	9,085	14,970	18,050	20,083	27,338	0	32,313
Reported net profit (mn)	3,928	6,476	7,885	8,729	12,218	0	14,433
Normalised net profit (mn)	3,928	6,476	7,885	8,729	12,218	0	14,433
FD normalised EPS	103.92	171.34	208.58	230.93	323.21		381.81
FD norm. EPS growth (%)	52.7	72.6	100.7	34.8	55.0		18.1
FD normalised P/E (x)	150.3	—	74.9	—	48.3	—	40.9
EV/EBITDA (x)	117.3	—	56.6	—	36.3	—	31.6
Price/book (x)	78.0	—	62.7	—	38.0	—	28.7
Dividend yield (%)	0.5	—	1.0	—	1.6	—	1.9
ROE (%)	59.5	71.0	92.9	69.1	97.9		79.9
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash		net cash

Source: Company data, Nomura estimates

Rating Remains **Buy**

Target price Increased from TWD 11,500.00 **TWD 19,100.00**

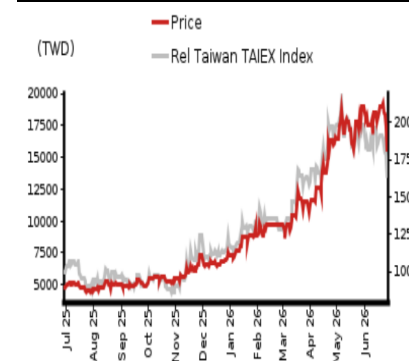
Closing price 26 June 2026 **TWD 15,615.00**

Implied upside **+22.3%**

Market Cap (USD mn) 18,510.9

ADT (USD mn) 148.2

Relative performance chart



Source: LSEG, Nomura

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Key data on ASPEED Technology

Performance

(%)	1M	3M	12M		
Absolute (TWD)	-9.4	35.2	230.5	M cap (USDmn)	18,510.9
Absolute (USD)	-10.6	35.3	200.7	Free float (%)	75.0
Rel to Taiwan	-11.8	1.5	132.3	3-mth ADT (USDmn)	148.2
TAIEX Index					

Income statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	6,460	9,085	18,050	27,338	32,313
Cost of goods sold	-2,306	-2,906	-5,705	-8,790	-10,514
Gross profit	4,154	6,179	12,344	18,548	21,798
SG&A	-1,235	-1,518	-2,614	-3,332	-3,813
Employee share expense					
Operating profit	2,918	4,660	9,731	15,217	17,986
EBITDA	3,174	4,984	10,303	16,026	18,470
Depreciation	-121	-167	-331	-501	-323
Amortisation	-136	-157	-241	-309	-162
EBIT	2,918	4,660	9,731	15,217	17,986
Net interest expense	69	143	111	111	111
Associates & JCEs	0	0	0	0	0
Other income	180	52	14	-55	-55
Earnings before tax	3,167	4,855	9,856	15,273	18,042
Income tax	-596	-928	-1,971	-3,055	-3,609
Net profit after tax	2,571	3,928	7,885	12,218	14,433
Minority interests					
Other items					
Preferred dividends					
Normalised NPAT	2,571	3,928	7,885	12,218	14,433
Extraordinary items	0	0	0	0	0
Reported NPAT	2,571	3,928	7,885	12,218	14,433
Dividends	-1,967	-3,024	-6,071	-9,408	-11,113
Transfer to reserves	605	904	1,814	2,811	3,320

Valuations and ratios

Reported P/E (x)	229.5	150.3	74.9	48.3	40.9
Normalised P/E (x)	229.5	150.3	74.9	48.3	40.9
FD normalised P/E (x)	229.5	150.3	74.9	48.3	40.9
Dividend yield (%)	0.3	0.5	1.0	1.6	1.9
Price/cashflow (x)	187.7	131.3	95.1	62.8	58.6
Price/book (x)	104.7	78.0	62.7	38.0	28.7
EV/EBITDA (x)	184.8	117.3	56.6	36.3	31.6
EV/EBIT (x)	201.0	125.4	59.9	38.2	32.4
Gross margin (%)	64.3	68.0	68.4	67.8	67.5
EBITDA margin (%)	49.1	54.9	57.1	58.6	57.2
EBIT margin (%)	45.2	51.3	53.9	55.7	55.7
Net margin (%)	39.8	43.2	43.7	44.7	44.7
Effective tax rate (%)	18.8	19.1	20.0	20.0	20.0
Dividend payout (%)	76.5	77.0	77.0	77.0	77.0
ROE (%)	54.3	59.5	92.9	97.9	79.9
ROA (pretax %)	83.4	108.2	144.0	125.5	92.2

Growth (%)

Revenue	106.4	40.6	98.7	51.5	18.2
EBITDA	129.1	57.0	106.7	55.6	15.3
Normalised EPS	155.2	52.7	100.7	55.0	18.1
Normalised FDEPS	155.2	52.7	100.7	55.0	18.1

Source: Company data, Nomura estimates

Cashflow statement (TWDmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	3,174	4,984	10,303	16,026	18,470
Change in working capital	666	427	696	-3,621	-4,844
Other operating cashflow	-696	-915	-4,795	-2,998	-3,552
Cashflow from operations	3,145	4,496	6,204	9,407	10,074
Capital expenditure	-25	-274	-1,326	-2,008	-2,374
Free cashflow	3,120	4,222	4,878	7,398	7,700
Reduction in investments	-321	-257	-60	0	0
Net acquisitions					
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	0	137	24	0	0
CF after investing acts	2,799	4,101	4,842	7,398	7,700
Cash dividends	-756	-1,967	-3,024	-6,071	-9,408
Equity issue	0	0	0	0	0
Debt issue	0	0	0	0	0
Convertible debt issue					
Others	5	-6	7	0	0
CF from financial acts	-751	-1,972	-3,018	-6,071	-9,408
Net cashflow	2,048	2,129	1,824	1,327	-1,707
Beginning cash	1,612	3,659	5,788	7,613	8,940
Ending cash	3,659	5,788	7,613	8,940	7,233
Ending net debt	-3,659	-5,788	-7,613	-8,940	-7,233

Balance sheet (TWDmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	3,659	5,788	7,613	8,940	7,233
Marketable securities	352	510	559	559	559
Accounts receivable	1,437	1,606	4,785	9,184	14,676
Inventories	357	280	790	1,502	2,583
Other current assets	181	224	253	253	253
Total current assets	5,987	8,408	13,999	20,438	25,303
LT investments	400	492	505	505	505
Fixed assets	355	606	1,554	3,062	5,113
Goodwill					
Other intangible assets					
Other LT assets	984	828	528	219	57
Total assets	7,726	10,334	16,587	24,224	30,979
Short-term debt	0	0	0	0	0
Accounts payable	426	616	1,554	3,044	4,772
Other current liabilities	1,457	1,828	5,304	5,304	5,304
Total current liabilities	1,883	2,444	6,858	8,348	10,076
Long-term debt	0	0	0	0	0
Convertible debt					
Other LT liabilities	204	319	322	322	322
Total liabilities	2,087	2,763	7,180	8,670	10,398
Minority interest					
Preferred stock					
Common stock	378	378	378	378	378
Retained earnings	2,854	4,558	5,747	10,673	14,255
Proposed dividends					
Other equity and reserves	2,407	2,635	3,282	4,504	5,947
Total shareholders' equity	5,639	7,571	9,407	15,555	20,580
Total equity & liabilities	7,726	10,334	16,587	24,224	30,979

Liquidity (x)

Current ratio	3.18	3.44	2.04	2.45	2.51
Interest cover	-	-	-	-	-

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (TWD)	68.04	103.92	208.58	323.21	381.81
Norm EPS (TWD)	68.04	103.92	208.58	323.21	381.81
FD norm EPS (TWD)	68.04	103.92	208.58	323.21	381.81
BVPS (TWD)	149.10	200.27	248.84	411.46	544.41
DPS (TWD)	52.04	80.01	160.59	248.86	293.97

Activity (days)

Days receivable	60.8	61.1	64.6	93.2	135.1
Days inventory	52.5	40.0	34.2	47.6	71.1
Days payable	52.8	65.4	69.4	95.5	136.0
Cash cycle	60.5	35.7	29.4	45.4	70.2

Source: Company data, Nomura estimates

Company profile

ASPEED is a leading IC design house specializing in computing SoC solution, and was founded in 2004. Its major product is baseboard management controller (BMC) for servers. Besides server management SoC, the company also provides PC/AV extension solutions and image processing SoC (Cupola360).

Valuation Methodology

Our TP of TWD19,100 is based on 50x 2028F EPS; 50x is at the mid-end of its historical trading range. The benchmark index is TAIEX.

Risks that may impede the achievement of the target price

Downside risks to our call include: 1) weaker server demand from macro uncertainties; 2) slower ramp on AI server and CoWoS order cut, and 3) slower-than-expected adoption of new products

ESG

ASPEED established Sustainability Committee centralizing ESG issues in 2021. The company continues to develop green energy-saving products. For example, its AST2600 BMC SoC reduces energy use by more than 61%.

AI BMC SAM to reach over 10m+ into 2027F

Under our definition, AI BMC are BMCs in AI servers along with accelerators (GPUs/ASICs); thus we do not include servers without accelerators but are used for AI workloads.

In our previous AI BMC simulation, we used GPU volume forecasts from a server module perspective. We now update the simulation using numbers from the supply side to capture the full potential volume upside and suggest end customers may try to secure components simultaneously, before entering the server assembly stage, either due to concerns over supply constraints or potential price hikes. Thus, gauging SAM from a server module angle may underestimate BMC orders, in our view.

Along with our TSMC (2330 TT, Buy) AI revenue model and CoWoS allocation updates ([report](#)), our new AI BMC simulation indicates 7m/11m BMC demand from accelerator servers in 2026F/27F. As mentioned above, our chip volume aligns with our revised TSMC AI revenue model, and the number forecast is from a production perspective. We assume the rack architecture for MTIA 400&450 and AMD MI400 series is similar to nVidia's (NVDA US, Not rated) Oberon rack but with a less BMC content.

Fig. 1: BMC SAM analysis for AI server systems in 2024-27F

From nVidia servers					From AWS servers					From TPU servers				
	2024F	2025F	2026F	2027F		2024F	2025F	2026F	2027F		2024F	2025F	2026F	2027F
GPU chip volume (k)					Trainium chip volume (k)					TPU chip volume (k)				
Hopper	4,900	480	-	-	TRN2/2.5 chip volume (k)	200	1,600	100	-	TPU 8t (Mad Dog/A5921; Zebrafish)	-	-	1,000	3,200
L40S	1,127	1,200	2,180	2,300	TRN3 chip volume (k)	-	-	1,500	1,800	TPU 8t (Hell Cat; Sunfish)	-	-	320	5,120
Blackwell	240	5,480	-	-	- Liquid-cooling (4 chips per board)	-	-	75	630	Rack count (k)			41	260
Blackwell Ultra	-	-	6,040	-	- Air-cooling (2 chips per board)	-	-	1,425	1,170	BMC per rack (unit)			16	16
Rubin	-	-	2,000	8,550	Rack count (k)					Sum	-	-	660	4,160
Server type mix % for non-L40S					TRN2/2.5 (32 chips per rack)	6	50	3	-	From AMD servers				
HGX	98%	32%	30%	20%	TRN3	-	-	46	46	GPU chip volume (k)				
GB or VR (Oberon)	2%	68%	70%	80%	- Liquid-cooling (64 chips per rack)	-	-	1	10	MI300/325	800	400	100	-
AI server unit (k)					- Air-cooling (32 chips per track)	-	-	45	37	MI350/355X	-	400	600	150
A100/H100/B200/R100... (HGX)	632	239	301	214	BMC per rack (unit)	22	22	22	22	MI400 series	-	-	185	880
L40S	282	300	545	575	Sum	138	1,100	1,074	1,021	AI server unit (k)				
GB200 NVL 72 System (rack count)	-	52	-	-	From MTIA servers					MI300/325	100	50	13	-
GB300 NVL 72 System (rack count)	-	-	59	-	MTIA chip volume (k)					MI350/355X	-	50	75	19
Vera Rubin NVL144 System (rack count)	-	-	19	95	MTIA 300	-	20	30	-	MI400 series	-	-	3	12
BF3 attachment rate assumption					MTIA 400	-	-	40	200	BMC SAM (k)				
A100/H100/B200/R100... (HGX)	30%	15%	15%	15%	MTIA 450	-	-	-	40	MI300/325	200	100	25	-
L40S	30%	15%	15%	15%	Rack count (k)					MI350/355X	-	100	150	38
GB200 NVL 72 System	30%	15%	15%	15%	- MTIA 300 (16 chips per rack)	-	1	2	-	MI400 series	-	-	82	391
GB300 NVL 72 System	30%	15%	15%	15%	- MTIA 400 & 450 (72 chips per rack)	-	-	1	3	Sum	200	200	257	429
Vera Rubin NVL144 System	30%	15%	15%	15%	BMC content per rack					Summary				
HMC BMC attachment rate assumption					- MTIA 300 (16 chips per rack)					BMC SAM (k)				
GB200 NVL 72 System	100%	100%	-	-	BMC	23	23	23	23	nVidia	1,819	3,775	4,926	5,557
GB300 NVL 72 System	-	-	50%	50%	Mini BMC	16	16	16	16	AMD	200	200	257	429
Vera Rubin NVL144 System	-	-	50%	50%	- MITA 400 & 450 (72 chips per rack)	18	18	18	18	AWS TRN	138	1,100	1,074	1,021
BMC SAM (k)					Compute tray	17	17	17	17	Meta MTIA	-	29	63	117
A100/H100/B200/R100... (HGX)	1,453	514	648	460	Others	-	-	-	-	TPU	-	-	660	4,160
L40S	366	345	627	661	BMC SAM (k)					Total BMC SAM (k)	2,157	5,104	6,980	11,284
GB200 NVL 72 System	-	2,916	-	-	- MTIA 300 (16 chips per rack)					- AST2600	2,157	5,104	6,237	6,732
GB300 NVL 72 System	-	-	2,743	-	BMC	-	29	43	-	- AST2700	-	-	742	4,551
Vera Rubin NVL144 System	-	-	908	4,437	Mini BMC	-	20	30	-	Total mini BMC SAM (k)	-	20	30	-
Sum	1,819	3,775	4,926	5,557	- MITA 400 & 450 (72 chips per rack)	-	-	19	117					
					Sum									
					BMC	-	29	63	117					
					Mini BMC	-	20	30	-					

Source: Nomura estimates

Unprecedented BMC demand from non-accelerator servers

We have seen strong demand from general server since 2H25, and the booming CPU demand would prompt customers to look for drivers. Server CPU covers plain CPU for non-AI general servers, head-node CPUs paired with accelerators, and CPUs used for AI workloads. We believe the second and third categories are driving substantial demand for server CPUs, especially the last one after the Agentic AI boom.

ASPEED's latest BMC TAM forecast in Mar-2026 suggests BMC TAM would reach 65.77mn in 2030E. The company also splits AI-related general server for the first time as it sees strong demand for agentic AI workload and simple inference tasks (*Fig. 4*).

BMCs for servers with accelerators (along with headnode CPUs) are covered under our AI BMC section above, while we classify pure-CPU servers (for AI and non-AI workloads) as non-accelerator servers within general server without further breakdown.

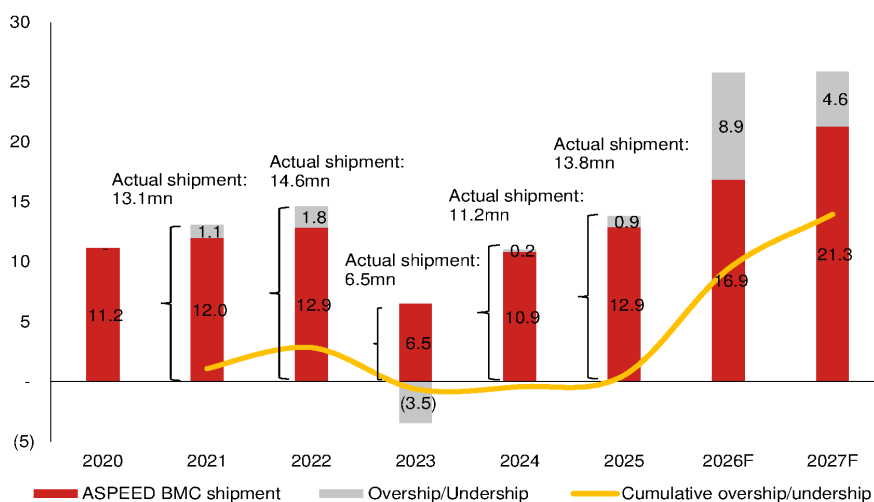
In our updated inventory analysis for non-AI BMCs, we adopt new server forecasts from our team (*report*) — general server units to grow 31%/26% in 2026F/27F. Based on our current end device assumptions and total BMC shipment assumption in earnings model, we believe the substantial order momentum could still include some stockpiling amid tight supply/cost inflationary environment, while it doesn't necessarily indicate customers are willing to slow down the procurement anytime soon.

Fig. 2: ASPEED's BMC shipment simulation

(mn units for shipment)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026F	2027F
ASPEED market share assumption - A		59%	63%	68%	71%	71%	71%	71%	71%	71%	71%
ASPEED BMC shipment forecast NMRc	6.8	7.9	8.6	11.2	13.2	14.9	7.0	13.2	19.0	32.8	37.2
- y-y growth		16%	8%	30%	18%	13%	-53%	89%	43%	73%	13%
- BMC for AI					0.1	0.3	0.5	2.2	5.1	7.0	11.3
- y-y growth						200%	67%	331%	137%	37%	62%
- BMC for non-AI - B	6.8	7.9	8.6	11.2	13.1	14.6	6.5	11.1	13.8	25.8	25.9
- y-y growth		16%	8%	30%	17%	12%	-56%	70%	25%	86%	0%
Total server shipment NMRc	10.2	11.8	11.7	12.3	12.8	13.7	10.9	12.3	15.1	20.3	26.0
- y-y growth		15%	-1%	6%	4%	7%	-21%	13%	22%	35%	28%
General server shipment NMRc				12.3	12.7	13.6	10.5	11.4	13.6	17.8	22.5
- y-y growth - C					3%	7%	-23%	9%	19%	31%	26%
AI server shipment NMRc					0.1	0.2	0.4	0.9	1.5	2.5	3.5
- y-y growth						15%	155%	130%	68%	67%	43%
Implied demand/shipment based on market share (A) and general server shipment y-y (C) - D				11.2	12.0	12.9	10.0	10.9	12.9	16.9	21.3
Overship/Undership - (B) - (D)				-	1.1	1.8	(3.5)	0.2	0.9	8.9	4.6
Cumulative overship/undership					1.1	2.8	(0.6)	(0.4)	0.5	9.4	14.0

Source: IDC, company data, Nomura estimates

Fig. 3: BMC shipment analysis



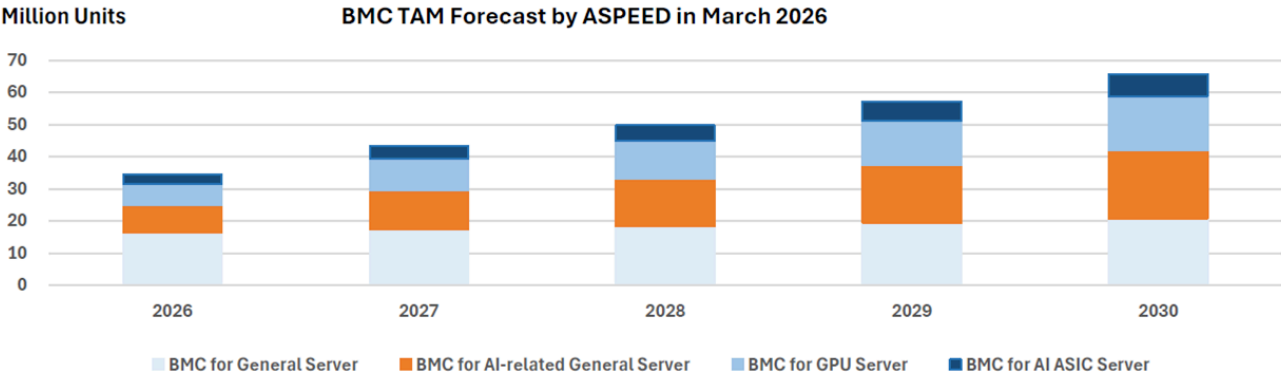
Source: Company data, Nomura estimates

Fig. 4: ASPEED's BMC TAM forecast

ASPEED recorded strong demand from AI-related general server

BMC TAM Forecast Revised

- We see huge demand for **AI-related General Server** for agentic AI workload and simple inference tasks.
- BMC TAM is estimated to be **65.77 million** units in 2030.



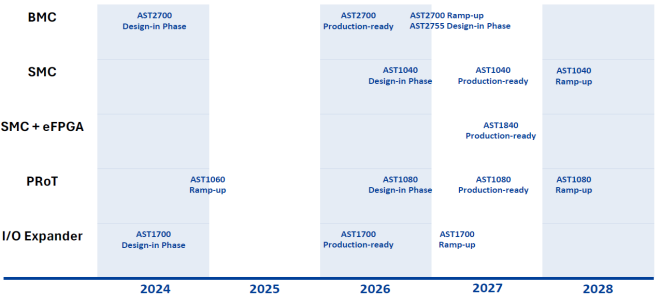
Note : 1) BMC for General Servers will grow at 6% CAGR.
2) BMC for AI-related General Servers is estimated to be 8.5 million in 2026, with 45% growth rate in 2027 and 20% thereafter.
3) BMC for GPU servers and AI ASIC servers in 2026 is based on the estimate of GPU and AI ASIC shipment and the server architecture.
4) Assuming BMC for GPU Servers grow at 45% in 2027 and 20% afterwards. We also include BMCs for ICMS here.
5) Assuming BMC for AI ASIC Servers grow at 45% in 2027 and 20% afterwards.

Source: Company data, Nomura research

Fig. 5: ASPEED's product roadmap

ASPEED maintains expanding product portfolio

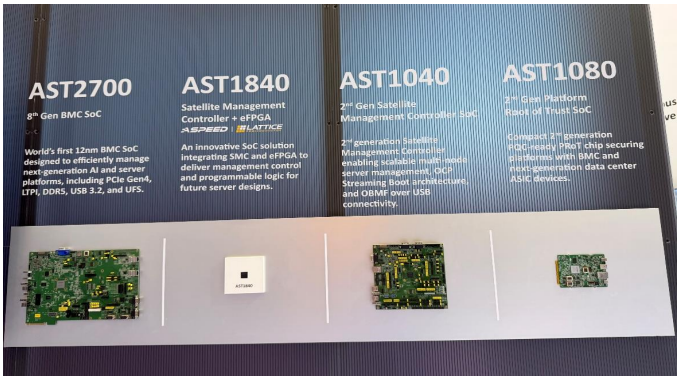
Product Roadmap



Source: Company data, Nomura research

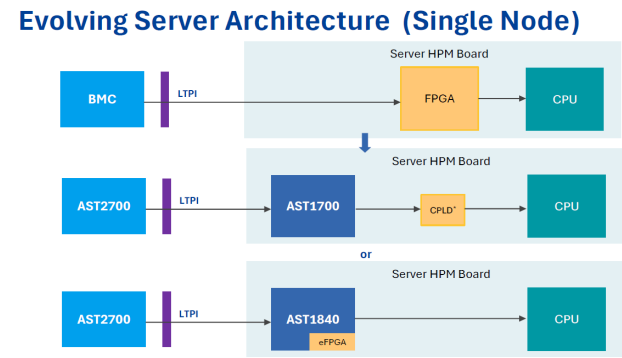
Fig. 6: ASPEED's product roadmap

ASPEED maintains expanding product portfolio



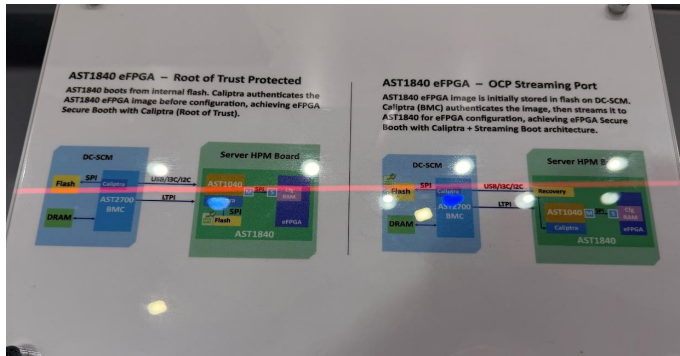
Source: Company data, Nomura research

Fig. 7: ASPEED unveils AST1840
AST1840 could simplify design without FPGA



Source: Company data, Nomura research

Fig. 8: ASPEED unveils AST1840
AST1840 could simplify design without FPGA

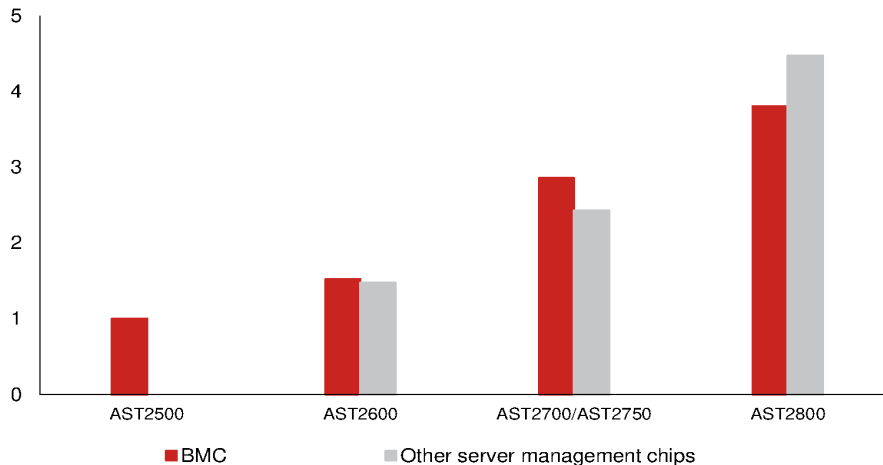


Source: Company data, Nomura research

Financial analysis and forecasts

Fig. 9: ASPEED's content growth within Cloud and enterprise product portfolios

We see significant content surge on broader product portfolio



Source: Nomura estimates

Fig. 10: ASPEED – 2026-27F forecast revisions

(TWD mn)	2026F			2027F		
	Revised	Previous	Change	Revised	Previous	Change
Sales	18,050	14,970	20.6%	27,338	20,083	36.1%
Gross profit	12,344	10,085	22.4%	18,548	13,493	37.5%
Operating profit	9,731	7,924	22.8%	15,217	10,721	41.9%
Net profit	7,885	6,476	21.7%	12,218	8,729	40.0%
EPS (TWD)	208.58	171.34	21.7%	323.21	230.93	40.0%
Margin	Revised	Previous	Change	Revised	Previous	Change
Gross margin (%)	68.4	67.4	1.0 pp	67.8	67.2	0.7 pp
Operating margin (%)	53.9	52.9	1.0 pp	55.7	53.4	2.3 pp
Net margin (%)	43.7	43.3	0.4 pp	44.7	43.5	1.2 pp

Source: Company data, Nomura estimates

Fig. 11: ASPEED's P&L

(TWD mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	2,065	2,247	2,330	2,443	3,147	3,895	4,660	6,348	5,103	5,484	6,787	9,963	9,085	18,050	27,338	32,313
- Cost of Goods Sold	(697)	(722)	(716)	(771)	(970)	(1,208)	(1,498)	(2,029)	(1,651)	(1,772)	(2,183)	(3,183)	(2,906)	(5,705)	(8,790)	(10,514)
Gross profit	1,368	1,525	1,614	1,672	2,177	2,686	3,163	4,319	3,452	3,712	4,605	6,780	6,179	12,344	18,548	21,798
- OPEX	(341)	(341)	(382)	(455)	(518)	(576)	(643)	(876)	(653)	(702)	(801)	(1,176)	(1,518)	(2,614)	(3,332)	(3,813)
Operating profit	1,027	1,184	1,231	1,218	1,659	2,110	2,519	3,443	2,798	3,010	3,804	5,604	4,660	9,731	15,217	17,986
Net profit	887	629	1,214	1,198	1,414	1,686	2,019	2,765	2,250	2,420	3,054	4,495	3,928	7,885	12,218	14,433
EPS (TWD)	23.46	16.65	32.12	31.69	37.41	44.59	53.42	73.15	59.51	64.00	80.80	118.90	103.92	208.58	323.21	381.81
Profitability	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Gross margin	66.2%	67.9%	69.3%	68.5%	69.2%	69.0%	67.9%	68.0%	67.6%	67.7%	67.8%	68.0%	68.0%	68.4%	67.8%	67.5%
Opex ratio	(16.5%)	(15.2%)	(16.4%)	(18.6%)	(16.5%)	(14.8%)	(13.8%)	(13.8%)	(12.8%)	(12.8%)	(11.8%)	(11.8%)	(16.7%)	(14.5%)	(12.2%)	(11.8%)
Operating margin	49.7%	52.7%	52.9%	49.8%	52.7%	54.2%	54.1%	54.2%	54.8%	54.9%	56.0%	56.2%	51.3%	53.9%	55.7%	55.7%
Net margin	42.9%	28.0%	52.1%	49.0%	44.9%	43.3%	43.3%	43.6%	44.1%	44.1%	45.0%	45.1%	43.2%	43.7%	44.7%	44.7%
Q-Q	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	(1.8%)	8.8%	3.7%	4.9%	28.8%	23.8%	19.7%	36.2%	(19.6%)	7.5%	23.8%	46.8%				
Gross profit	(0.7%)	11.5%	5.8%	3.6%	30.2%	23.4%	17.7%	36.6%	(20.1%)	7.6%	24.0%	47.2%				
- OPEX	(9.5%)	0.0%	12.2%	18.9%	13.9%	11.3%	11.6%	36.2%	(25.4%)	7.5%	14.1%	46.8%				
Operating profit	2.7%	15.3%	4.0%	(1.1%)	36.2%	27.2%	19.4%	36.6%	(18.7%)	7.6%	26.4%	47.3%				
Net profit	(5.9%)	(29.1%)	93.0%	(1.4%)	18.1%	19.2%	19.8%	37.0%	(18.6%)	7.5%	26.2%	47.2%				
Y-Y	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	2025	2026F	2027F	2028F
Net sales	104%	66%	17%	16%	52%	73%	100%	160%	62%	41%	46%	57%	41%	99%	51%	18%
Gross profit	113%	77%	26%	21%	59%	76%	96%	158%	59%	38%	46%	57%	49%	100%	50%	18%
- OPEX	34%	22%	17%	21%	52%	69%	68%	93%	26%	22%	25%	34%	23%	72%	27%	14%
Operating profit	166%	104%	29%	22%	62%	78%	105%	183%	69%	43%	51%	63%	60%	109%	56%	18%
Net profit	127%	24%	66%	27%	59%	168%	66%	131%	59%	44%	51%	63%	53%	103%	55%	18%
EPS (TWD)	127%	24%	66%	27%	59%	168%	66%	131%	59%	44%	51%	63%	53%	101%	55%	18%

Source: Company data, Nomura estimates

Fig. 12: ASPEED's key financial numbers

	2018	2019	2020	2021	2022	2023	2024	2025	2026F	2027F	2028F	2018-22F CAGR	2024-27F CAGR
Key financial numbers (TWD mn)													
Net sales	2,154	2,484	3,064	3,638	5,210	3,130	6,460	9,085	18,050	27,338	32,313	25%	62%
y-y (%)	14%	15%	23%	19%	43%	-40%	106%	41%	99%	51%	18%		
Gross profit	1,290	1,571	1,936	2,376	3,391	2,008	4,154	6,179	12,344	18,548	21,798	27%	65%
y-y (%)	18%	22%	23%	23%	43%	-41%	107%	49%	100%	50%	18%		
Operating profit	800	1,008	1,271	1,652	2,449	1,080	2,918	4,660	9,731	15,217	17,986	32%	73%
y-y (%)	24%	26%	26%	30%	48%	-56%	170%	60%	109%	56%	18%		
Net profit	686	831	1,005	1,313	2,106	1,007	2,571	3,928	7,885	12,218	14,433	32%	68%
y-y (%)	29%	32%	21%	31%	62%	-54%	165%	53%	103%	55%	18%		
EPS (TWD)	20.20	24.39	29.38	38.30	55.72	26.66	68.04	103.92	208.58	323.21	381.81	29%	68%
y-y (%)	38%	21%	21%	31%	60%	-52%	155%	53%	101%	55%	18%		

Source: Company data, Nomura estimates

Fig. 13: Nomura forecasts vs Bloomberg consensus for 2026-28F

(TWD mn)	2026F			2027F			2028F		
	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)	NMR	BBG	Diff (%)
Sales	18,050	16,473	9.6	27,338	25,765	6.1	32,313	38,508	(16.1)
Gross profit	12,344	11,267	9.6	18,548	16,565	12.0	21,798	26,249	(17.0)
Operating profit	9,731	8,983	8.3	15,217	14,685	3.6	17,986	21,542	(16.5)
Net profit	7,885	7,425	6.2	12,218	11,841	3.2	14,433	18,183	(20.6)
EPS (TWD)	208.58	192.33	8.4	323.21	312.74	3.3	381.81	481.02	(20.6)
Margin	NMR	BBG	Diff (pp)	NMR	BBG	Diff (pp)	NMR	BBG	Diff (pp)
Gross margin (%)	68.4	68.4	(0.0)	67.8	64.3	3.6	67.5	68.2	(0.7)
OPEX ratio (%)	(14.5)	(13.9)	(0.6)	(12.2)	(7.3)	(4.9)	(11.8)	(12.2)	0.4
Operating margin (%)	53.9	54.5	(0.6)	55.7	57.0	(1.3)	55.7	55.9	(0.3)
Net margin (%)	43.7	45.1	(1.4)	44.7	46.0	(1.3)	44.7	47.2	(2.6)

Source: Company data, Bloomberg consensus, Nomura estimates

Valuation methodology and risks

Our TP of TWD19,100 is based on 50x 2028F EPS; 50x is at the mid-end of its historical trading range.

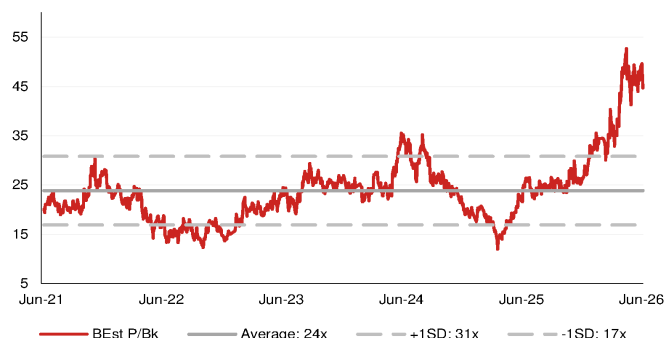
Downside risks to our call include: 1) weaker server demand from macro uncertainties; 2) slower ramp on AI server and CoWoS order cut, and 3) slower-than-expected adoption of new products

Fig. 14: ASPEED's 5-year consensus P/E



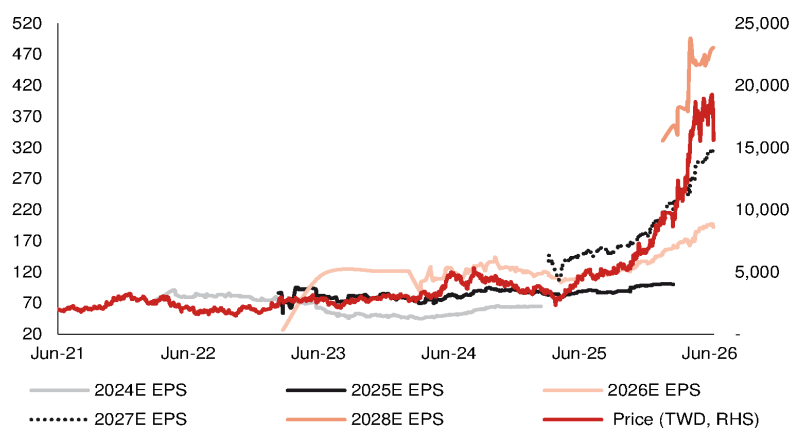
Source: Bloomberg Finance L.P., Nomura research

Fig. 15: ASPEED's 5-year consensus P/B



Source: Bloomberg consensus, Nomura research

Fig. 16: ASPEED's share price vs Bloomberg consensus EPS revisions



Source: Company data, Bloomberg consensus, Nomura research

Appendix A-1

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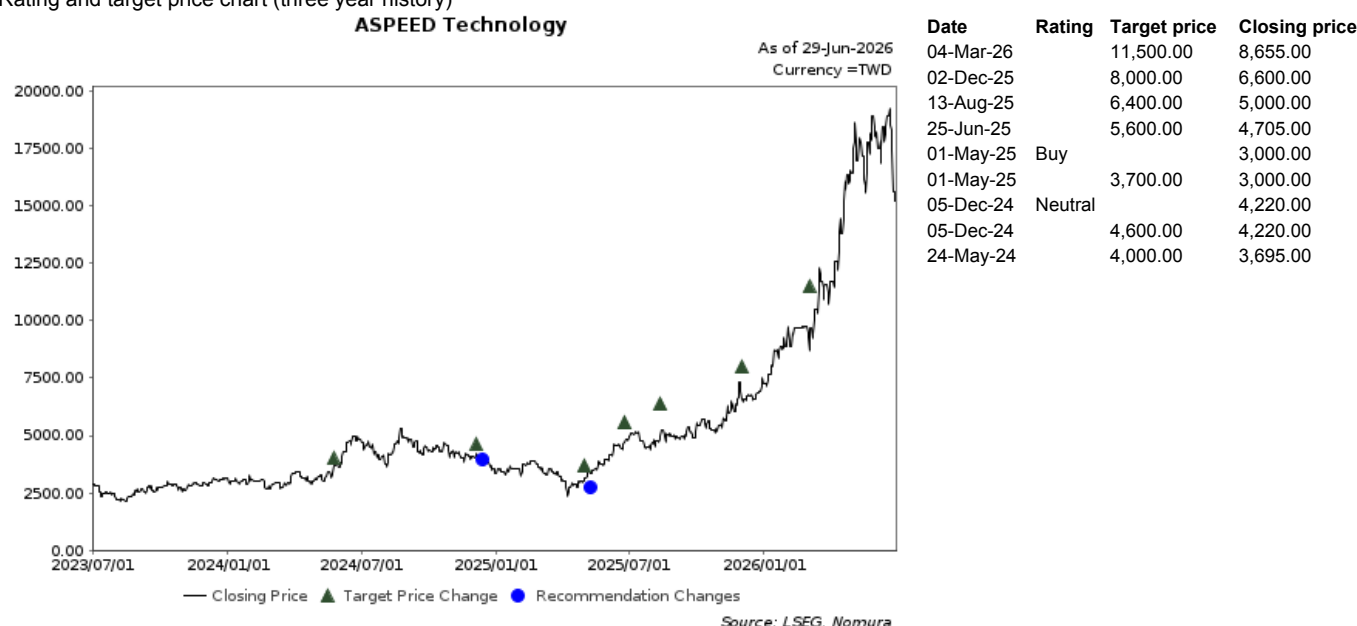
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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
ASPEED Technology	5274 TT	TWD 15,615.00	26-Jun-2026	Buy	N/A	

ASPEED Technology (5274 TT)

TWD 15,615.00 (26-Jun-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD19,100 is based on 50x 2028F EPS; 50x is at the mid-end of its historical trading range. The benchmark index is TAIEX.

Risks that may impede the achievement of the target price Downside risks to our call include: 1) weaker server demand from macro uncertainties; 2) slower ramp on AI server and CoWoS order cut, and 3) slower-than-expected adoption of new products

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As at 31 March 2026.

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